

RATING: BUY
Price Target: \$175
[Click here for the full model](#)
Ananda Baruah
Managing Director

Ananda.Baruah@loopcapital.com

Tel: 212-823-1314

Loop Equity Trading: 312-913-4908

STOCK DATA

Price	\$126
Price Target	\$175
Market Cap (\$M)	\$3,088,750
52-Week Range	\$39.23-\$141
Shares (M)	24,590.0
ADTV (000)	361,215
Enterprise Value (\$M)	\$3,067,022
Dividend Per Share	\$0.00
Debt To Capitalization	16%

FINANCIAL DATA

	2024A	2025E	2026E
EBIT Margin	61.0%	66.6%	70.7%
EV/Revenue	50.3x	22.8x	13.7x
EV/Sales	50.3x	22.8x	13.7x
P/E Ratio	96.9x	41.4x	24.6x

*Financial data in \$ millions except per share.

REVENUE (\$M)

FY January	2024A	2025E	2026E
Q1	7,192.0	26,044.0A	44,991.3E
Consensus	—	—	38,334.0E
Q2	13,507.0	30,040.0A	45,930.5E
Consensus	—	—	40,238.0E
Q3	18,120.0	34,259.1E	51,722.6E
Consensus	—	31,928.0E	42,626.0E
Q4	22,103.0	43,938.7E	80,578.3E
Consensus	—	35,204.0E	46,673.0E
FY Prior	—	139,506.5E	224,717.5E
FY	60,922.0	134,281.8E	223,222.8E
Consensus	—	121,684.0E	169,172.0E

OPERATING EPS (\$)

FY January	2024A	2025E	2026E
Q1	0.11	0.61A	1.03E
Consensus	—	—	0.86E
Q2	0.27	0.68A	1.05E
Consensus	—	—	0.91E
Q3	0.40	0.77E	1.18E
Consensus	—	0.72E	0.97E
Q4	0.52	0.98E	1.84E
Consensus	—	0.79E	1.06E
FY Prior	—	3.17E	5.15E
FY	1.30	3.04E	5.10E
Consensus	—	2.74E	3.83E

Source: FactSet, Loop Capital Markets estimates

Semiconductors
NVIDIA Corp. (NVDA - \$126)
NVDA Is Telling Us This Is the Time to Buy B/F the Next Run
Summary

Reiterating our Buy and \$175 PT after NVDA reported its July Q EPS. Our work suggests that while Blackwell is in fact delayed as we first wrote about on 8/5 ([Yes, Blackwell Is Delayed... And Yes, Our Work Suggests It's Very Navigable](#)), it could be more like 120 days vs 90 days... although it may not matter much as 1. Hopper yields from TSMC continue to improve and 2. The amount of increased Hopper production through the fall may outweigh the amount of Blackwell forgone by the push out ([Interesting Conversations Heading Into the NVDA Print This Week](#)). As we discuss below, while there likely will be some ASP mix down from more Hopper 1HCY2025 / FY2026, there remains substantive upside to Street. We convey our thought process below, and also note that NVDA announced at \$50B buy back. Our \$175 PT is 29x – 35x the \$5.00 - \$6.00 EPS we believe NVDA can generate in CY2025 / FY2026.

Key Points

Figure 1 provides Actuals vs Street and Guidance vs Street.

We urge investors to heed key net-bullish takes from the call, including:

- It looks like our supposition of a material Oct Q revenue step up is really happening in the Jan Q... and NVDA is highlighting it. Specifically:
 - NVDA anticipates Hopper demand is up QoQ in both the Oct Q and again in the Dec Q, as H200 ramps in earnest.
 - In the Jan Q NVDA is anticipating “several \$Bs of Blackwell revenue...” . We believe this makes sense, as we were modeling \$4B in Jan Q Blackwell revenue ahead of the call.
- NVDA remains very bullish on CY2025 demand drivers and talked about strong YoY growth in Data Center revenue. Our work continues to suggest the following:
 - Our work suggests the potential to increase Hopper builds perhaps as much as at least 30% (say potentially an additional 1.0M), which would more than offset the 220k Blackwell lost from the 90 – 120 day push out.
 - Originally Blackwell volumes were anticipated to be just 300k – 350k Oct Q '24 through Jan Q '25, or ~10% of the 3.0M Data Center GPUs over that period ([Introducing “The GPU Matrix” & Raising Our PT to \\$175](#) – PLEASE CONTACT YOUR LOOP CAPITAL SALESPERSON FOR A MODEL OF GPU BUILDS BY TYPE BY ASP BY QUARTER).
 - Importantly, as we’ve previously published, material volume for Blackwell B200 / GB200 has not truly ever been anticipated until Jul Q 2025. In other words, there is no material revenue impact – and the one-quarter push moves initial “material volume” into the Oct Q 2025.

Figure 1.

	<u>Actual</u>	<u>Street</u>	<u>Guidance</u>
<u>Jul Q:</u>			
Revenue	\$30.0B	\$28.7B	\$28.0B
Datacenter	\$26.3B	\$25.2B	--
Compute	\$22.6B	--	--
Networking	\$3.7B	--	--
Gaming	\$2.9B	\$2.7B	--
ProViz	\$454M	\$450M	--
Auto and Robotics	\$346M	\$345M	--
OEM and Other	\$88M	\$78M	--
GM	75.7%	75.6%	75.5% +/- 50l
Opex	\$2.8B	\$2.8B	\$2.8B
OM	66.4%	65.8%	--
EPS	\$0.68	\$0.65	--
<u>Oct Q Guide:</u>			
Revenue	\$32.5B +/- 2%	\$31.7B	--
GM	75.0% +/- 50 BPS	75.3%	--
Opex	\$3B	\$3B	--
<u>FY 2025 (Jan) Guide:</u>			
GM	Mid 70%	--	Mid 70%
Opex	Mid to upper 40%	--	Low 40%

Source: Company Reports & FactSet

NVIDIA Income Statement (\$ in millions except EPS)	FY2024A				FY2025E				FY2026E				FY				
	Apr	Jul	Oct	Jan	Apr A	Jul A	Oct	Jan	Apr	Jul	Oct	Jan	2023 A	2024 A	2025 E	2026 E	
Revenue	\$7,192	\$13,507	\$18,120	\$22,103	\$26,044	\$30,040	\$34,259	\$43,939	\$44,991	\$45,931	\$51,723	\$80,578	\$34,423	\$60,922	\$134,282	\$223,223	
COGS	2,390	3,893	4,537	5,144	5,484	7,311	8,565	11,863	11,698	11,942	13,448	20,950	18,458	15,964	33,223	58,038	
Gross Profit	4,802	9,614	13,583	16,959	20,560	22,729	25,694	32,075	33,294	33,989	38,275	59,628	15,965	44,958	101,059	165,185	
Operating Expenses	1,750	1,838	2,026	2,210	2,501	2,792	2,998	3,339	2,924	2,985	3,362	5,238	6,925	7,824	11,630	14,509	
Operating Income	3,052	7,776	11,557	14,749	18,059	19,937	22,697	28,736	30,369	31,003	34,913	54,390	9,040	37,134	89,429	150,675	
Interest Income and Other, Net	84	120	175	232	302	380	350	350	350	350	350	350	5	611	1,382	1,400	
Pretax Income	3,136	7,896	11,732	14,981	18,361	20,317	23,047	29,086	30,719	31,353	35,263	54,740	9,045	37,745	90,811	152,075	
Adjusted tax	423	1,156	1,712	2,142	3,123	3,365	3,817	4,817	5,088	5,193	5,840	9,066	680	5,433	15,122	25,187	
Net Income	2,713	6,740	10,020	12,839	15,238	16,952	19,230	24,269	25,631	26,160	29,422	45,674	8,365	32,312	75,688	126,888	
EPS	\$0.11	\$0.27	\$0.40	\$0.52	\$0.61	\$0.68	\$0.77	\$0.98	\$1.03	\$1.05	\$1.18	\$1.84	\$0.33	\$1.30	\$3.04	\$5.10	
Diluted Weighted Average Shares	24,900	24,990	24,940	24,900	24,890	24,848	24,890	24,890	24,890	24,890	24,890	24,890	-	25,073	24,933	24,930	24,895
% of Revenues:																	
Gross Margin	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	73.0%	74.0%	74.0%	74.0%	74.0%	46.4%	73.8%	75.3%	74.0%	
Opex	24%	14%	11%	10%	10%	9%	9%	8%	7%	7%	7%	7%	20%	13%	9%	7%	
EBIT	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	66.3%	65.4%	67.5%	67.5%	67.5%	67.5%	26.3%	61.0%	66.6%	67.5%	
Pretax Income	44%	58%	65%	68%	70%	68%	67%	66%	68%	68%	68%	68%	26%	62%	68%	68%	
Net Income	38%	50%	55%	41%	46%	48%	48%	46%	47%	47%	47%	47%	24%	53%	56%	57%	
Tax Rate	13%	15%	15%	14%	17%	17%	17%	17%	17%	17%	17%	17%	8%	14%	17%	17%	
YoY Growth Rates:																	
Revenue	-13%	101%	86%	129%	262%	122%	89%	99%	73%	53%	51%	83%	28%	77%	120%	66%	
Gross Profit	-14%	213%	308%	324%	328%	136%	89%	89%	62%	50%	49%	86%	-11%	182%	125%	63%	
Opex	9%	5%	13%	25%	43%	52%	48%	51%	17%	7%	12%	57%	31%	13%	49%	25%	
EBIT	-23%	487%	652%	563%	492%	156%	96%	95%	68%	56%	54%	89%	-29%	311%	141%	68%	
EPS	-20%	425%	590%	487%	462%	153%	92%	89%	68%	54%	53%	88%	-25%	288%	134%	68%	
QoQ Growth Rates																	
Revenue	-26%	88%	34%	22%	18%	15%	14%	28%	2%	2%	13%	56%					
Gross Profit	20%	100%	41%	25%	21%	11%	13%	25%	4%	2%	13%	56%					
Opex	-1%	5%	10%	9%	13%	12%	7%	11%	-12%	2%	13%	56%					
EBIT	37%	155%	49%	28%	22%	10%	14%	27%	6%	2%	13%	56%					
EPS	24%	148%	49%	28%	19%	11%	13%	26%	6%	2%	12%	55%					
Revenue by segment																	
Data Center	\$4,284	\$10,323	\$14,514	\$18,404	\$22,563	\$26,272	\$30,276	\$40,069	\$41,287	\$41,918	\$47,360	\$76,416	\$15,005	\$47,525	\$119,180	\$206,981	
Gaming	\$2,240	\$2,486	\$2,856	\$2,865	\$2,647	\$2,880	\$3,090	\$2,955	\$2,799	\$3,040	\$3,356	\$3,102	\$9,067	\$10,447	\$11,572	\$12,297	
Professional Visualization	\$295	\$379	\$416	\$463	\$427	\$454	\$477	\$472	\$430	\$455	\$480	\$490	\$1,544	\$1,553	\$1,830	\$1,855	
Auto	\$296	\$253	\$261	\$281	\$329	\$346	\$331	\$356	\$385	\$421	\$437	\$474	\$903	\$1,091	\$1,362	\$1,716	
OEM & Other	\$77	\$66	\$73	\$90	\$78	\$88	\$85	\$86	\$91	\$98	\$90	\$97	\$455	\$306	\$337	\$375	
Revenue Mix																	
Data Center	60%	76%	80%	83%	87%	87%	88%	91%	92%	91%	92%	95%	44%	78%	89%	93%	
Gaming	31%	18%	16%	13%	10%	10%	9%	7%	6%	7%	6%	4%	26%	17%	9%	6%	
Professional Visualization	4%	3%	2%	2%	2%	2%	1%	1%	1%	1%	1%	1%	4%	3%	1%	1%	
Auto	4%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	3%	2%	1%	1%	
OEM & Other	1%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	1%	1%	0%	0%	

Source: Company Reports & Loop Capital Estimates

Valuation

Our \$175 PT is 29x – 35x the \$5.00 - \$6.00 EPS we believe NVDA can generate in CY2025 / FY2026.

Risks to Our Analysis

1. **“Where does the \$ come from?” is one of the more absolutely fair questions.** Truth be told, it probably can’t yet be perfectly identified. As we discuss in “GPU forecast” Figure 3, we are forecasting a spend on NVDA Data Center Training GPU potential of ~\$150B in CY2024 & ~\$200B in CY2025. We believe this comes at the very least from a combination of 1. Incremental Cloud migration revenue to the Hyperscalers as F1000 positions for Gen AI usage, 2.VC \$s into Gen AI development, 3. Hyperscaler cost saves from the use of Gen AI, 4. Initial increases in Ad \$’s from Gen AI usage and 5. Cloud scale “budget shifting” and (frankly) layoffs to free up capital. Presumably as the Hyperscalers begin to recognize Gen AI revenue from customer usage (hopefully by mid-2024) this too becomes a lasting source of funding.
2. **We believe that the possibility Gen AI deployments eventually run into either or both power and real estate constraints is a legitimate conversation.** Admittedly these are not our legacy areas of expertise and are just beginning to deepen our knowledge (we guess we’re energy Analysts now as well). We will add that our Cloud Scale buyer conversations have suggested the possibility for “tightening” at some point in 1HCY2025. So, while we currently do not have a “call” in that regard, we will be doing work to deepen our view here.
3. **Legislation could potentially impact Gen AI revenue generation to the point of infrastructure impact.** Our conversations over the last 12 months suggested that while Hyperscalers were originally anticipating initial Gen AI revenue from F1000 to start in January 2024, by mid-fall 2023 legislation conversations and their time to resolution had shifted that expectation into summer 2024 (Gen AI revenue). The gist of this is that given F1000 is planning to substantially increase the amount of corporate data it moves to the Cloud (“F1000 is materially altering its behaviors for Gen AI:” ?) to prepare for using Gen AI in an outward facing manner, legislatures want to be certain to do good thinking ahead of these moves.
4. **NVDA isn’t going to be the only Gen AI silicon provider in town.** Admittedly there are going to be a lot of silicon participants, and of various flavors (GPU and non-GPU Silicon). And while this is going to differ depending on Gen AI Training or Inference, the various cross currents will matter given 1. Training GPU ASP points (say \$25K - \$35K for NVDA) are (best we can tell) 2x-3x that of current Inference silicon. However, with estimates that ultimately the Inference market could be 3x-5x the that of Training... participation and share in that market will certainly matter. Additionally, competition will come from various directions, including 1. established silicon leaders such as AMD & Intel, 2. the Hyperscalers themselves and 3. emerging silicon companies that are currently being very well VC funded.

Public Companies Mentioned in this Report

NVIDIA Corp. (NVDA:\$126-BUY)

IMPORTANT DISCLOSURES

This report has been prepared by Loop Capital Markets LLC ("Loop Capital Markets"). Loop Capital Markets is a broker-dealer registered with the SEC and a member of FINRA and the Securities Investor Protection Corporation (SIPC). Loop Capital Markets is located at 425 South Financial Place, Suite 2700, Chicago, IL 60605. For up-to-date Loop Capital Markets' disclosures, including company specific disclosures and price charts, please click on the following link or paste URL in a web browser: <https://loopcapital.bluematrix.com/sellside/Disclosures.action>. Alternatively, disclosures may also be made available by emailing compliance@loopcapital.com or by calling 888-294-8898.

Analyst Certification and Disclosures

Ananda Baruah who is principally responsible for the preparation of this report with respect to each subject security or issuer contained within this report certifies as of the date of the report that:

- (1) the recommendations and guidance expressed accurately reflects the research analyst's personal views;
- (2) no part of the compensation was, is, or will be directly, or indirectly, related to the specific recommendations or views expressed in this report.

Research Analyst Compensation: Loop Capital Markets' Research Analysts, including the author(s) of this report, receive compensation that is based on a variety of factors, including overall profitability of the Firm and total revenue from all sources, including those from investment banking.

Company Disclosures

Investment Banking Services (Next 3 Months): Loop Capital Markets expects to receive, or intends to seek, compensation for investment banking services in the next three months from the Subject Company and other companies discussed in this Report.

Disclaimer

Information about our recommendations, holdings and investment decisions:

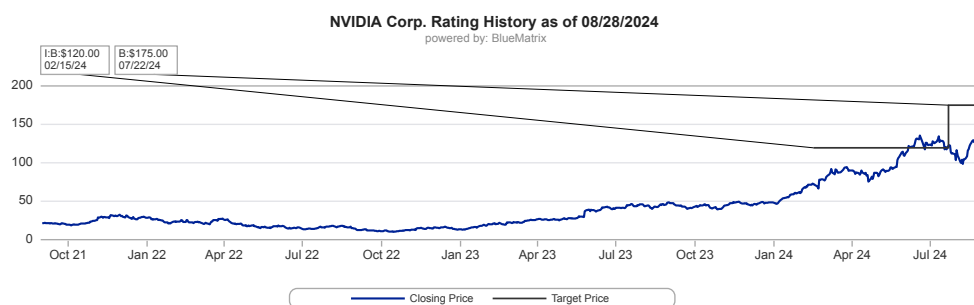
The information and rating included in this report represent the long-term view as described more fully below. The analyst may have different views regarding short term trading strategies with respect to the stocks covered by the rating, options on such stocks, and/or other securities or financial instruments issued by the company. Our brokers and analysts may make recommendations to their clients, and our affiliates may make investment decisions that are contrary to the recommendations contained in this research report. Such recommendations or investment decisions are based on the particular investment strategies, risk tolerances, and other investment factors of that particular client or affiliate. From time to time, Loop, and its respective directors, officers, employees, or members of their immediate families may have a long or short position in the securities or other financial instruments mentioned in this report. We provide to certain customers on request specialized research products or services that focus on covered stocks from a particular perspective. These products or services include, but are not limited to, compilations, reviews, and analysis that may use different research methodologies or focus on the prospects for individual stocks as compared to other covered stocks or over differing time horizons or under assumed market events or conditions. Readers should be aware that we may issue investment research on the subject companies from a technical perspective and/or include in this report discussions about options on stocks covered in this report and/or other securities or financial instruments issued by the company. These analyses are different from fundamental analysis, and the conclusions reached may differ. Technical research and the discussions concerning options and other securities and financial instruments issued by the company do not represent a rating or coverage of any discussed issuer(s). The disclosures concerning distribution of ratings and price charts refer to fundamental research and do not include reference to technical recommendations or

discussions concerning options and other securities and financial instruments issued by the company.

The information presented in this report is for informational purposes only. It was prepared based on information and sources that we believe to be reliable, but we make no representations or guarantees as to the accuracy or completeness of the information contained herein. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any security. The opinions expressed in this report may change without notice.

Loop Capital Markets research reports are intended for use by institutional investors. The securities discussed in Loop Capital Markets research reports may not be suitable for some investors. Investors must make their own determination as to the appropriateness of an investment in any securities referred to herein, based on their specific investment objectives, financial status and risk tolerance. Past performance is no guarantee of future results and the predictions made in this report may not be met.

Loop Capital Markets accepts no liability whatsoever for any loss or damage of any kind arising out of the use of all or any part of this report. Loop Capital Markets specifically prohibits the re-distribution of this report by third parties, via the internet or otherwise, and accepts no liability whatsoever for the actions of such third parties in this respect. Additional information is available to clients upon request.



Stock Ratings

Buy - The stock is expected to trade higher on an absolute basis or outperform relative to the market or its peer stocks over the next 12 months.

Hold - The stock is expected to perform in line with the market or its peer stocks over the next 12 months.

Sell - The stock is expected to trade lower on an absolute basis or underperform relative to the market or its peer stocks over the next 12 months.

Ratings Distribution for Loop Capital Markets as of August 28, 2024

	Count	% of total	IB Serv./Past 12 Mos.	
			Count	% of total
BUY	139	58.90%	15	10.79%
HOLD	95	40.25%	3	3.16%
SELL	2	0.85%	0	0.00%

Source: Loop Capital Markets